pations of convenient size in large individual mortgages. There is no doubt that in the case of such obligations the value of the pledged land and buildings is of paramount importance. The ordinary real estate loan made by an experienced investor is based chiefly upon his conclusions as to the fair value of the property offered as security. It seems to us, however, that in a broad sense the values behind real estate mortgages are *going-concern values; i.e.*, they are derived fundamentally from the earning power of the property, either actual or presumptive. In other words, the value of the pledged asset is not something *distinct* from the success of the enterprise (as is possibly the case with a railroad-equipment trust certificate), but is rather *identical* therewith.

This point may be made clearer by a reference to the most typical form of real estate loan, a first mortgage on a single-family dwelling house. Under ordinary conditions a home costing $10,000 would have a rental value (or an equivalent value to an owner-tenant) of some $1,200 per year, and would yield a net income of about $800 after taxes and other expenses. A 5% first-mortgage loan on the savings-bank basis, *i.e.*, 60% of value, or $6,000, would therefore be protected by a normal *earning power* of over twice the interest requirements. Stated differently, the rental value could suffer a reduction of over one-third before the ability to meet interest charges would be impaired. Hence the mortgagee reasons that regardless of the ability of the then owner of the house to pay the carrying charges, he could always find a tenant or a new purchaser who would rent or buy the property on a basis at least sufficient to cover his 60% loan. (By way of contrast, it may be pointed out that a typical *industrial plant*, costing $1,000,000 and bonded for $600,000, could not be expected to sell or rent for enough to cover the 5% mortgage if the issuing company went into bankruptcy.)

Property Values and Earning Power Closely Related. This illustration shows that under normal conditions obtaining in the field of *dwellings, offices*, and *stores*, the property values and the rental values go hand in hand. In this sense it is largely immaterial whether the lender views mortgaged property of this kind as something with salable value or as something with an earning power, the equivalent of a going concern. To some extent this is true also of vacant lots and unoccupied houses or stores, since the market value of these is closely related to the *expected* rental